

Pricing Power in the Industry

The pricing power of any firm is its ability to increase the market price of the goods or services that it offers, over and above the increase in the raw material prices.

Pricing Power

dependent on



Supply and Demand for the product



Shell Petroleum

A company or industry does not have much pricing power if an increase in prices would reduce the demand for their products.

This phenomenon is captured in the price elasticity of demand.

Price elasticity of demand is the degree to which consumers change their demand in quantity terms in response to changes in the price of the product.



Smartphones

A company or industry does not have much pricing power if increase in prices can cause new entrants to the industry and increase supply in the industry.

This phenomenon is captured in the price elasticity of supply.

Price elasticity of supply is the degree to which producers can change their supply in volume terms in response to changes in the price of the product.^[11]



Here, neither new supply comes in when prices rise nor do the consumers reduce their demand.

Industries in which the price elasticity of demand and supply, are low have the highest pricing power.

[11]

<https://www.investopedia.com/terms/p/pricingpower.asp>